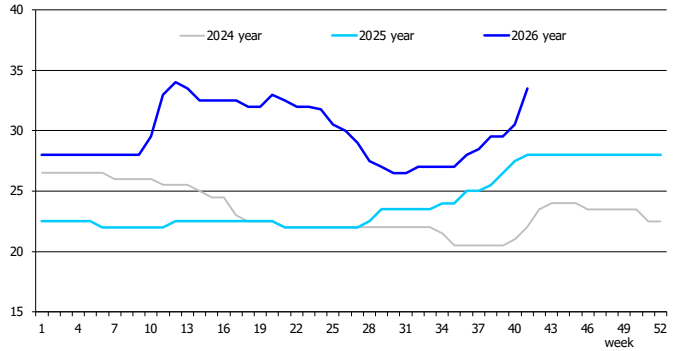
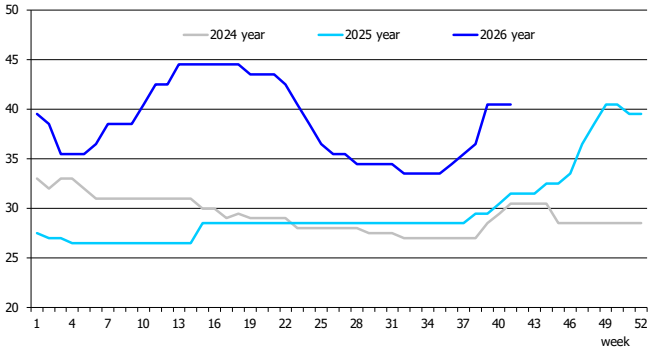
Black Sea coaster market getting extremely nervous, with rates from CVB moving up

The Black Sea coaster shipping market has once again hit a rough patch, but this time it does not concern the already notoriously problematic and extremely risky shipments from Ukraine and Russia, but rather shipments from Bulgaria and Romania. Three deadly Russian attacks on ships near the coasts of EU countries have taken the willingness to enter the Black Sea from already quite reluctant shipowners. Those who are still willing to do so have begun to significantly raise their freight ideas. "Owners are very bullish when indicating shipments from Bulgaria and Romania, especially from Varna and Constanta – they are seeking to get $8-10/t more than a week ago for shipments towards WMed," an EU broker told ISM. In addition, quite logical rumors have begun to circulate more actively in the market regarding a possible increase in EWRI rates for voyages outside the territorial waters of Romania, Bulgaria, and Turkey, namely from 0.1-0.3% H&M to a much more substantial 0.7-1%. It is telling that even with the normalization of operations at Sulina, the number of 2-12k dwt vessels scheduled to sail directly into the Black Sea in October-November has fallen to a record low of 37 units. Despite increased nervousness and uncertainty, ISM estimates demonstrate that short-haul rates from Black Sea ports to the EU have de facto risen by $1-2/t, long-haul ones – by $3-4/t over the week, while TCEs have increased much less significantly (within $0.3-0.5k daily for 5-6k dwt ships). For instance, rates for transportation of 5-6,000 t of wheat from CVB to the Italia Adriaitc have increased to $33-34/t. Following the opening of the Sulina Canal and the potential reduction in laytime, charterers are attempting to push down rates from Ukraine's Danube ports; however, no significant changes have been observed so far (only $0.5-1/t down). Thus, the deal for shipment of 5-6,000 t of wheat from Reni or Izmail to Alexandria by a vessel open outside the Danube is discussed at $97-99/t. Rates from Russian ports remain extremely high, with only sporadic deals, as is the case with the Greater Odessa ports.

Wheat, 5-6,000t, Constanta / Varna - Bari / Ortona (2500x/2500x), $/t



Urea, 5-6,000t, Damietta - Seville (2500x/2500x), $/t



Meanwhile, the Mediterranean market has already started to feel the impact of shipowners' reluctance to engage in Black Sea exports. The number of vessels available in the Marmara Sea, the Aegean Sea, and the eastern Mediterranean has risen from 122 to 134 units over the week, so competition for Turkish and North African cargoes has intensified. At the same time, shipments of fertilizers, steel, and grains remain quite substantial. Freights have stayed at last week's levels.

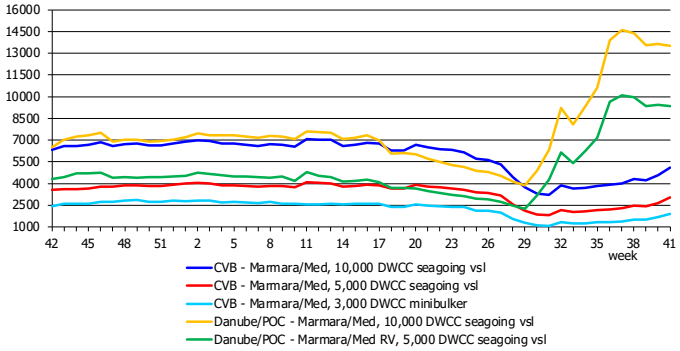
The coaster shipping market remains quite lively in the Baltic Sea , which is typical for this time of year. The seasonal increase in grain shipments is driving the local market. Demand for fleet remains healthy, with active COA shipments traditionally taking up a portion of the market's tonnage. However, the total number of vessels available in the Baltic & Continent has once again remained largely unchanged. Note that a slight decline in bunker prices allowed charterers to slow the rate upturn and – at least temporarily – stabilize them.

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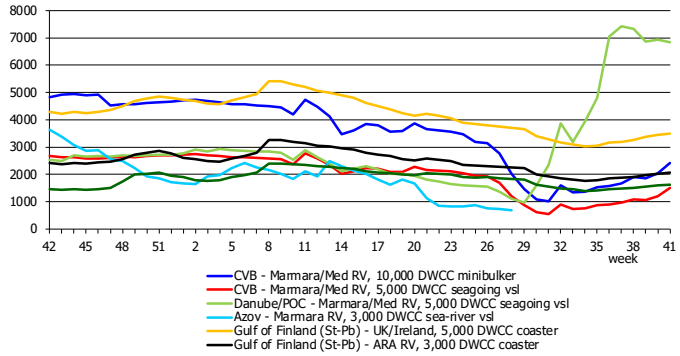
We can see no signs of brisker cargo traffic in the Black Sea, but the freight rate dynamics will depend primarily on developments in the military and political situation. If attacks on ships near Bulgarian and Romanian ports continue – and especially if there is a repeat of the incident involving an attack on a vessel that did not depart from a Ukrainian port but was merely carrying Ukrainian cargo – corresponding freight rates will almost certainly continue to rise. Trends on the Mediterranean market will continue to depend heavily on developments in the neighboring Black Sea. Market participants do not rule out that a further influx of vessels could worsen the situation for owners in the Mediterranean and put pressure on rates that are already quite low as for October. Meanwhile, North European freights are quite likely to resume their upturn. Strong cargo volumes allow shipowners to feel quite confident; moreover, the seasonal deterioration in weather conditions may soon lead to a decline in fleet turnover.

Click here to see 500+ detailed short sea freight rates and dynamics on major routes

Average TCEs (given short ballast leg from TBS), $/day



Average round voyage TCEs (given backhaul leg in ballast), $/day



Coaster Freight Index

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